



When should you use an index (one figure summarizing two or more indicators) to report on outcomes?

In many situations, people want to report on the level of achievement of more than one box within a DoView strategy/outcomes diagram or outcomes framework by just using a single summary number. This is called an 'index'. An index is created by combining the results of several different indicators. A well-known example is the Consumer Price Index (CPI), combining the separate cost of each item in a 'basket' of goods and services.

If you have three indicators that all have the same range (e.g. values from 1 to 10), the simplest rule for combining them into an index is to add them up to give an index ranging from 1 to 30. If they have different ranges, you can adjust them statistically to each make a similar contribution to the overall level of the final index number. The assumption behind this rule combining these three indicators into an index, is that each of the different indicators is as important as the others when measuring the overall outcome being achieved. However, sometimes indexes 'weigh' the contribution of each indicator if it is believed that some are more important than others. When doing this you need some sort of theoretical rationale for proceeding in this way.

It is easy to 'game' indexes by adjusting the contribution (or weight) that each indicator makes to the overall index. If you only report an overall index number, you hide which boxes within the relevant DoView strategy/outcomes diagram are measured and incorporated. The best way to quickly communicate the underlying picture is to show an index against the relevant DoView diagram, which immediately shows readers which boxes are included in the index and which are not. You can also show the relative contribution (or weight) of each indicator on the diagram. Such transparency lets readers judge the appropriateness of indicator selection and weights, and check if you have excluded boxes they believe should be included. To complement this, you can present individual indicators within an index on a spider graph, which gives a transparent way of seeing what is happening with each indicator.